

# Initial Public Offerings: Updated Long-run Statistics

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**Table 11a** (May 18, 2026)**First-day and Long-run Returns on IPOs by Lead-left Underwriter, 2012-2024**

1,645 operating company IPOs from 2012-2024 are used, with returns calculated through the end of December 2025. IPOs are categorized by the underwriter listed in the top left of the managing underwriters on the first page of the IPO prospectus (S.E.C. Form 424). The 11 underwriters with the highest number of operating company IPOs are listed, with other underwriters grouped into two other categories. Others (regionals) include Wm. Blair, Piper-Jaffray, Raymond James, RBC Capital Markets, Wells Fargo and other underwriters not otherwise named below with an underwriter rank of 6.0 or higher on a 1-to-9 scale. Others (lower tier) include Aegis, Boustead, EF Hutton, Maxim Group and others with an underwriter rank of below 6.0. IPOs with an offer price below \$5.00 per share, unit offers, ADRs, REITs, closed end funds, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price (not from the offer price) until the earlier of the three-year anniversary or the delisting date. Market-adjusted returns use the Morningstar US Total Market Index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Specifically, the firm with the closest book-to-market ratio within the size decile of the IPO is used for the matching firm. For companies with dual-class shares, the post-issue book-to-market ratio is calculated using the post-issue total shares outstanding for all share classes. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue basic number of shares outstanding, a procedure that assumes that nontraded share classes would have the same price as traded shares, and that outstanding stock options have zero value. If a matching firm is delisted before the IPO, it is assumed that the proceeds of the delisted firm are then invested in the next-best matching firm at the time of the IPO. All returns include dividends and capital gains, including the index returns.

| Underwriter         | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|---------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                     |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Goldman Sachs       | 299            | 26.1%                    | 9.5%                               | -23.7%          | -19.6%         |
| JP Morgan           | 248            | 24.7%                    | 18.5%                              | -13.3%          | -3.0%          |
| Morgan Stanley      | 232            | 26.5%                    | 30.8%                              | -0.5%           | 3.9%           |
| BOA-Merrill         | 140            | 23.8%                    | 18.6%                              | -16.1%          | -1.1%          |
| Jefferies           | 99             | 23.8%                    | 0.6%                               | -33.1%          | -25.7%         |
| UBS/Credit-Suisse   | 89             | 10.9%                    | 16.9%                              | -17.4%          | -19.6%         |
| Citigroup           | 83             | 8.0%                     | 24.6%                              | -8.6%           | -29.8%         |
| Barclays            | 53             | 15.4%                    | 30.0%                              | -0.4%           | 8.0%           |
| Cowen (now TD Bank) | 30             | 25.4%                    | -43.9%                             | -76.0%          | -58.4%         |
| Deutsche Bank       | 19             | 11.7%                    | 44.4%                              | 12.7%           | -1.8%          |
| Stifel              | 19             | 11.5%                    | 34.3%                              | 7.9%            | 28.1%          |
| Others (regionals)  | 124            | 10.4%                    | 11.2%                              | -24.2%          | -11.0%         |
| Others (lower tier) | 210            | 37.1%                    | -54.5%                             | -89.1%          | -60.4%         |
| <b>2012-2024</b>    | <b>1,645</b>   | <b>23.4%</b>             | <b>7.6%</b>                        | <b>-25.5%</b>   | <b>-16.7%</b>  |

**Table 11b** (May 18, 2026)**First-day and Long-run Returns on VC-backed IPOs by Lead-left Underwriter, 2012-2024**

988 venture capital-backed operating company IPOs from 2012-2024 are used, with returns calculated through the end of December 2025. IPOs are categorized by the underwriter listed in the top left of the managing underwriters on the first page of the IPO prospectus (S.E.C. Form 424). The 11 underwriters with the highest number of operating company IPOs (both VC-backed and other IPOs) are listed, with other underwriters grouped into two other categories. Others (regionals) include Wm. Blair, Piper-Jaffray, Raymond James, RBC Capital Markets, Wells Fargo and other underwriters not otherwise named below with an underwriter rank of 6.0 or higher on a 1-to-9 scale. Others (lower tier) include Aegis, Boustead, EF Hutton, Maxim Group and others with an underwriter rank of below 6.0. IPOs with an offer price below \$5.00 per share, unit offers, ADRs, REITs, closed end funds, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price (not from the offer price) until the earlier of the three-year anniversary or the delisting date. Market-adjusted returns use the Morningstar US Total Market Index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Specifically, the firm with the closest book-to-market ratio within the size decile of the IPO is used for the matching firm. For companies with dual-class shares, the post-issue book-to-market ratio is calculated using the post-issue total shares outstanding for all share classes. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue basic number of shares outstanding, a procedure that assumes that nontraded share classes would have the same price as traded shares, and that outstanding stock options have zero value. If a matching firm is delisted before the IPO, it is assumed that the proceeds of the delisted firm are then invested in the next-best matching firm at the time of the IPO. All returns include dividends and capital gains, including the index returns.

| Underwriter              | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|--------------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                          |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Goldman Sachs            | 194            | 31.8%                    | 11.0%                              | -21.8%          | -15.1%         |
| Morgan Stanley           | 174            | 31.0%                    | 36.4%                              | 4.9%            | 6.2%           |
| JP Morgan                | 171            | 28.7%                    | 10.6%                              | -21.2%          | -12.1%         |
| BOA-Merrill              | 85             | 28.4%                    | 18.5%                              | -15.3%          | -8.8%          |
| Jefferies                | 76             | 25.7%                    | 1.9%                               | -30.3%          | -16.3%         |
| UBS/Credit-Suisse        | 41             | 10.6%                    | 32.1%                              | -2.4%           | 12.7%          |
| Citigroup                | 47             | 9.0%                     | 28.9%                              | -6.6%           | -24.9%         |
| Barclays                 | 26             | 15.1%                    | 14.8%                              | -18.1%          | -29.7%         |
| Cowen                    | 24             | 29.3%                    | -35.9%                             | -68.4%          | -52.8%         |
| Deutsche Bank            | 8              | 16.0%                    | 52.4%                              | 20.1%           | 20.4%          |
| Stifel                   | 13             | 12.7%                    | 54.6%                              | 19.2%           | 46.5%          |
| Others (regionals)       | 75             | 9.4%                     | 7.9%                               | -27.1%          | -22.8%         |
| Others (lower tier)      | 54             | 25.1%                    | -36.9%                             | -68.5%          | -45.7%         |
| Top 5 above              | 700            | 29.8%                    | 17.1%                              | -15.2%          | -8.4%          |
| Others except lower tier | 234            | 12.6%                    | 16.7%                              | -17.7%          | -15.5%         |
| Lower tier               | 54             | 25.1%                    | -36.9%                             | -68.5%          | -45.7%         |
| <b>2012-2024</b>         | <b>988</b>     | <b>25.4%</b>             | <b>14.1%</b>                       | <b>-18.7%</b>   | <b>-12.5%</b>  |

**Table 13b** (updated February 26, 2026)**Long-run Returns on Auction IPOs and Direct Listings**

23 IPOs using auctions from 1999-2008, including one bank offering (B of I Holdings), are used, along with 12 direct listings from 2018-2021, with returns calculated through December 31, 2025. The companies are listed in Tables 13 (auctions) and 13a (direct listings). The five IPOs during 2020-2022 that used bookbuilding with limit orders, listed in Table 13 as auctions, are not included. There have also over 20 direct listings of small companies during 2022-2026, almost all of which displayed high first-day volatility. For the direct listings, the first-day return is computed from the opening price to the closing price, whereas for the auction IPOs, the offer price is used to calculate the first-day return. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year or five-year anniversary or the delisting date, or December 31, 2025. Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. The market-adjusted and style-adjusted returns are the average buy-and-hold return on the IPOs minus the average compounded return on the benchmark. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue number of shares outstanding.

**Panel A: 3-year Returns on Auction IPOs and Direct Listings from 1999-2021**

| Sector               | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                      |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Auction IPOs         | 23             | 12.7%                    | 87.5%                              | 79.2%           | 10.2%          |
| Direct Listings      | 12             | 2.1%                     | -3.6%                              | -36.4%          | -40.7%         |
| Other IPOs 1999-2021 | 3,404          | 30.2%                    | -3.4%                              | -17.5%          | -23.0%         |

6 of the 23 auction IPOs had 3-year buy-and-hold returns of at least 150%. The style-adjusted return for the auction IPOs is much lower than the market-adjusted return because two of the matching firms had 3-year buy-and-hold returns of over 700%.

**Panel B: 5-year Returns on Auction IPOs and Direct Listings from 1999-2021**

| Sector               | Number of IPOs | Average First-day Return | Average 5-year Buy-and-hold Return |                 |                |
|----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                      |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Auction IPOs         | 23             | 12.7%                    | 89.2%                              | 71.5%           | 3.5%           |
| Direct Listings      | 12             | 2.1%                     | 131.9%                             | 65.6%           | 101.4%         |
| Other IPOs 1999-2021 | 3,404          | 30.2%                    | 11.8%                              | -20.3%          | -29.2%         |

**Table 15c** (updated on July 29, 2026)

**Post-merger Returns on deSPACs, 2012-2025**

This table is an updated version of Table 4 in “SPACs” by Minmo Gahng, Jay R. Ritter, and Donghang Zhang, published in the Sept. 2023 *Review of Financial Studies*. The table reports average equally weighted deSPAC period common share percentage returns based on a buy-and-hold strategy (Equation (3)) in which an investor purchases common shares of a merged company at the close of the first day of trading as a new entity (the deSPAC) and holds them for 1 or 3 years. The year column represents the year of the merger. The sample consists of 447 business combinations consummated between January 2010 and December 2022, after excluding a few deSPACs that were listed OTC rather than on Nasdaq or the NYSE. When the full 1- or 3-year data are not available, we calculate the returns based on available data. For example, if a merged company started to trade in March 2020 and delisted in August 2020, we report the buy-and-hold returns from March 2020 to August 2020 for both one-year and three-year returns (not annualized). 3-year returns end in December 2023, and 1-year returns end in December 2025. The market return uses the Morningstar US Total Market Index total return, matched to each investment period. The main source for deSPAC information is SPACResearch.com.

For 2021 and 2022, the 3-year returns are for less than 3 years. In 2021, GNRS is not included because this deSPAC was traded OTC. (The returns are reported for 63 of the 64 deSPACs.) It should be noted that if there is a high redemption rate, the public float after the deSPAC can be quite low until shares that were locked up become available for trading. For 2023-25, returns are measured from an assumed \$10 price to the Dec. 31 split-adjusted close. For two deSPACs in 2023, the market price is multiplied by 1.4 due to bonus shares given to non-redeeming shareholders. The return for a deSPAC on Dec. 29, 2023 is not included. 71 of 73 deSPACs are used for 2024, excluding one that merged on Dec. 31, 2024 and one that never listed, and for 43 deSPACs in 2025.

The equally weighted average deSPAC return would be similar if a purchase price of \$10 was used, since the average first closing deSPAC price is close to \$10. The average deSPAC return would be higher, however, if a public cash-weighted return was reported, because it tends to be the case that deSPACs with high redemption rates (low public cash) have worse subsequent returns. Also, some deSPACs involve side payments to non-redeeming shareholders, for instance giving 0.5 sponsor shares to each non-redeeming shareholder. For these shareholders, the effective purchase price is thus approximately \$6.67 rather than \$10.00, so their returns would be higher if the deSPAC return accounted for the side payment. Guilherme Junqueira assisted in the update of this table.

| Year      | Number | Average 1-year Return |        |              | Average 3-year Buy-and-hold Return |        |              |
|-----------|--------|-----------------------|--------|--------------|------------------------------------|--------|--------------|
|           |        | deSPACs               | Market | Mkt-adjusted | deSPACs                            | Market | Mkt-adjusted |
| 2012      | 1      | -53.2%                | 20.4%  | -73.6%       | -98.1%                             | 37.2%  | -135.3%      |
| 2013      | 5      | -30.1%                | 17.9%  | -48.0%       | -41.1%                             | 28.0%  | -69.1%       |
| 2014      | 4      | -51.6%                | 5.7%   | -57.3%       | -89.6%                             | 26.7%  | -116.2%      |
| 2015      | 9      | -19.5%                | 0.7%   | -20.2%       | 87.7%                              | 33.1%  | 54.6%        |
| 2016      | 9      | -5.2%                 | 19.0%  | -24.2%       | -35.1%                             | 40.3%  | -75.3%       |
| 2017      | 13     | -11.0%                | 11.7%  | -22.6%       | -44.5%                             | 30.3%  | -74.7%       |
| 2018      | 23     | -35.0%                | 8.8%   | -43.8%       | -8.1%                              | 51.7%  | -59.8%       |
| 2019      | 25     | 2.0%                  | 8.8%   | -6.8%        | -25.0%                             | 10.1%  | -35.1%       |
| 2020      | 64     | -3.0%                 | 32.6%  | -35.6%       | -56.0%                             | 28.6%  | -84.6%       |
| 2021      | 198    | -64.2%                | -10.3% | -53.9%       | -73.0%                             | 7.0%   | -80.0%       |
| 2022      | 102    | -63.8%                | 5.0%   | -68.8%       | -63.8%                             | 16.9%  | -80.7%       |
| 2023      | 98     | -59.1%                |        |              |                                    |        |              |
| 2024      | 73     | -62.0%                |        |              |                                    |        |              |
| 2025      | 43     | -55.7%                |        |              |                                    |        |              |
| 2012-2022 | 451    | -46.3%                | 3.1%   | -49.4%       | -57.7%                             | 17.0%  | -74.7%       |

**Table 16** (updated February 16, 2026)**Long-run Returns on IPOs Categorized by the Pre-issue Sales of the Firm, 1980-2024**

All Last Twelve Months (LTM) sales figures for the firms going public have been converted into dollars of January 2024 purchasing power using the Consumer Price Index. 9,253 IPOs from 1980-2024 are used, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share, unit offers, ADRs, REITs, closed end funds, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. mm is millions of dollars. Buy-and-hold returns are calculated until the earlier of the three-year anniversary or the delisting date (no later than Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Specifically, the firm with the closest book-to-market ratio within the size decile of the IPO is used for the matching firm. For post-issue book value of equity numbers, I use the post-issue common equity numbers from SDC with corrections by checking the prospectus, and for the remaining missing numbers I use the equity book values reported for the nearest quarter after the IPO on COMPUSTAT, and further missing numbers are calculated using the reported pre-IPO equity book values plus the amount of the proceeds (assuming that over-allotment option shares and costs of issuing offset each other) times the fraction of the primary shares. For dual-class shares, the post-issue book-to-market ratio is calculated using the larger of the post-issue number of shares reported from SDC (with corrections to account for all share classes) and the total shares outstanding reported from CRSP at end of the IPO date. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue number of shares outstanding. If a matching firm is delisted before the IPO, it is assumed that the proceeds of the delisted firm are then invested in the next-best matching firm at the time of the IPO. All returns include dividends and capital gains, including the index returns.

| Sales (in 2025\$) | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                   |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| 0-9.999 mm        | 1,739          | 23.6%                    | -16.2%                             | -52.3%          | -34.0%         |
| 10-19.999 mm      | 647            | 28.0%                    | 0.0%                               | -35.8%          | -20.6%         |
| 20-49.999 mm      | 1,362          | 24.7%                    | 12.5%                              | -30.1%          | -9.6%          |
| 50-99.999 mm      | 1,395          | 18.9%                    | 27.6%                              | -15.3%          | -4.6%          |
| 100-499.999 mm    | 2,610          | 15.5%                    | 39.1%                              | -2.6%           | 5.4%           |
| 500 mm and up     | 1,500          | 10.3%                    | 31.8%                              | -4.4%           | -3.0%          |
| 0-99.999 mm       | 5,143          | 23.2%                    | 5.3%                               | -34.3%          | -17.9%         |
| 100 mm and up     | 4,110          | 13.6%                    | 36.4%                              | -3.2%           | 2.3%           |
| <b>1980-2024</b>  | <b>9,253</b>   | <b>18.9%</b>             | <b>19.1%</b>                       | <b>-20.5%</b>   | <b>-8.9%</b>   |

**Table 16a** (updated February 16, 2026)

**Long-run Returns on IPOs Categorized by the Pre-issue Sales of the Firm, 1980-2024**

The caption to Table 16 describes the return calculations in more detail. The average 3-year buy-and-hold returns are calculated starting at the closing market price on the first day of trading.

| Sales (in 2025\$)     | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                       |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Less than \$1 billion | 8,387          | 19.9%                    | 17.8%                              | -22.4%          | -9.9%          |
| \$1 billion and up    | 866            | 9.8%                     | 32.4%                              | -2.1%           | 0.6%           |
| <b>1980-2024</b>      | 9,253          | 18.9%                    | 19.1%                              | -20.5%          | -8.9%          |

Note: For example, a -20.5% 3-year market-adjusted buy-and-hold return for all IPOs corresponds to an annualized market-adjusted return of -5.5% per year, with an average holding period of 2.8 years, because  $1.191/1.396=0.853$  (which is the wealth relative, or public market equivalent), and  $0.853^{0.357}=0.945$ . The 39.6% buy-and-hold market return is 20.5% above the 19.1% average buy-and-hold return, and 0.357 is equal to  $1/2.8$ . Alternatively stated, underperformance of 5.5% per year for 2.8 years results in a wealth relative of 0.853.

**Table 16b** (updated February 16, 2026)

**Long-run Returns on IPOs Categorized by the Profitability of the Firm, 1980-2024**

All Last Twelve Months (LTM) sales figures for the firms going public have been converted into dollars of January 2025 purchasing power using the Consumer Price Index. 9,253 IPOs (including the 2016 IPO of BATS Global Markets, which listed on BATS) from 1980-2024 are used, with returns calculated through December 31, 2024. IPOs with an offer price below \$5.00 per share, unit offers, ADRs, REITs, closed end funds, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. The market-adjusted and style-adjusted returns are the average buy-and-hold return on the IPOs minus the average compounded return on the benchmark. For post-issue book value of equity numbers, I use the post-issue common equity numbers from SDC with corrections by checking the prospectus, and for the remaining missing numbers I use the equity book values reported for the nearest quarter after the IPO on COMPUSTAT, and further missing numbers are calculated using the reported pre-IPO equity book values plus the amount of the proceeds (assuming that overallocation option shares and costs of issuing offset each other) times the fraction of the primary shares. For dual-class shares, the post-issue book-to-market ratio is calculated using the larger of the post-issue number of shares reported from SDC (with corrections to account for all share classes) and the total shares outstanding reported from CRSP at end of the IPO date. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue number of shares outstanding. Earnings per share (EPS) is for the pre-IPO last twelve months (LTM). All returns include dividends and capital gains, including the index returns.

| Trailing LTM EPS                       | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------------------------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                                        |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Unprofitable                           | 3,926          | 26.5%                    | -0.5%                              | -30.7%          | -23.4%         |
| Profitable                             | 5,327          | 13.3%                    | 33.6%                              | -13.0%          | 1.8%           |
| Sales less than \$100 million (\$2025) |                |                          |                                    |                 |                |
| Unprofitable                           | 2,880          | 29.1%                    | -10.3%                             | -40.9%          | -29.6%         |
| Profitable                             | 2,263          | 15.6%                    | 25.2%                              | -25.9%          | -3.0%          |
| All less than \$100m                   | 5,143          | 23.2%                    | 5.3%                               | -34.3%          | -17.9%         |
| Sales more than \$100 million (\$2025) |                |                          |                                    |                 |                |
| Unprofitable                           | 1,046          | 19.4%                    | 26.2%                              | -2.7%           | -6.6%          |
| Profitable                             | 3,064          | 11.6%                    | 39.9%                              | -3.4%           | 5.4%           |
| All more than \$100m                   | 4,110          | 13.6%                    | 36.4%                              | -3.2%           | 2.3%           |
| <b>1980-2024</b>                       | <b>9,253</b>   | <b>18.9%</b>             | <b>19.1%</b>                       | <b>-20.5%</b>   | <b>-8.9%</b>   |

**Table 16c** (updated April 4, 2025)  
**Long-run Returns Measured from the Offer Price on Tech and non-Tech Stock IPOs**  
**Excluding the Internet Bubble, 1980-2023**

**Panel A: IPOs from 1980-2023, excluding 1999-2000, categorized by industry**

| Industry | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|          |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech     | 2,689          | 19.8%                    | 73.3%                              | 25.8%           | 46.0%          |
| Non-Tech | 5,636          | 11.6%                    | 30.3%                              | -14.7%          | -1.6%          |
| All      | 8,325          | 14.2%                    | 44.2%                              | -1.6%           | 13.8%          |

**Panel B: Categorized by sales and industry (sales in \$2024)**

| LTM Sales             | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                       |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Sales < \$100 million |                |                          |                                    |                 |                |
| Tech                  | 1,726          | 20.0%                    | 68.2%                              | 16.2%           | 41.7%          |
| Non-Tech              | 2,788          | 13.7%                    | 13.3%                              | -32.8%          | -13.6%         |
| Sales > \$100 million |                |                          |                                    |                 |                |
| Tech                  | 963            | 19.6%                    | 82.5%                              | 43.1%           | 53.8%          |
| Non-Tech              | 2,848          | 9.5%                     | 47.0%                              | 2.9%            | 10.1%          |

**Panel C: Profitable issuers, categorized by sales and industry**

| LTM Sales             | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                       |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Sales < \$100 million |                |                          |                                    |                 |                |
| Tech                  | 937            | 17.6%                    | 72.1%                              | 16.4%           | 44.3%          |
| Non-Tech              | 1,289          | 12.0%                    | 27.0%                              | -24.9%          | -1.6%          |
| Sales > \$100 million |                |                          |                                    |                 |                |
| Tech                  | 546            | 16.5%                    | 90.7%                              | 44.2%           | 59.5%          |
| Non-Tech              | 2,347          | 9.4%                     | 49.0%                              | 3.6%            | 12.5%          |

**Panel D: Unprofitable issuers, categorized by sales and industry**

| LTM Sales             | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                       |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Sales < \$100 million |                |                          |                                    |                 |                |
| Tech                  | 789            | 22.8%                    | 63.4%                              | 15.8%           | 38.6%          |
| Non-Tech              | 1,499          | 15.1%                    | 1.5%                               | -39.6%          | -23.8%         |
| Sales > \$100 million |                |                          |                                    |                 |                |
| Tech                  | 417            | 23.7%                    | 71.8%                              | 41.7%           | 46.3%          |
| Non-Tech              | 501            | 10.4%                    | 37.3%                              | -0.2%           | -1.4%          |

**Table 16d** (updated April 4, 2025)  
**Long-run Returns Measured from the First Closing Market Price on Tech and non-Tech  
Stock IPOs Excluding the Internet Bubble, 1980-2023**

**Panel A: IPOs from 1980-2023, excluding 1999-2000, categorized by industry**

| Industry | Number<br>of IPOs | Average<br>First-day<br>Return | Average 3-year Buy-and-hold Return |                     |                    |
|----------|-------------------|--------------------------------|------------------------------------|---------------------|--------------------|
|          |                   |                                | IPOs                               | Market-<br>adjusted | Style-<br>adjusted |
| Tech     | 2,689             | 19.8%                          | 42.3%                              | -5.1%               | 15.1%              |
| Non-Tech | 5,636             | 11.6%                          | 19.4%                              | -25.6%              | -12.5%             |
| All      | 8,325             | 14.2%                          | 26.8%                              | -19.0%              | -3.6%              |

**Panel B: Categorized by sales and industry (sales in \$2024)**

| LTM Sales             | Number<br>of IPOs | Average<br>First-day<br>Return | Average 3-year Buy-and-hold Return |                     |                    |
|-----------------------|-------------------|--------------------------------|------------------------------------|---------------------|--------------------|
|                       |                   |                                | IPOs                               | Market-<br>adjusted | Style-<br>adjusted |
| Sales < \$100 million |                   |                                |                                    |                     |                    |
| Tech                  | 1,726             | 20.0%                          | 36.4%                              | -15.6%              | 9.9%               |
| Non-Tech              | 2,788             | 13.7%                          | 3.5%                               | -42.6%              | -23.4%             |
| Sales > \$100 million |                   |                                |                                    |                     |                    |
| Tech                  | 963               | 19.6%                          | 53.1%                              | 13.7%               | 24.4%              |
| Non-Tech              | 2,848             | 9.5%                           | 35.0%                              | -9.0%               | -1.9%              |

**Panel C: Profitable issuers, categorized by sales and industry**

| LTM Sales             | Number<br>of IPOs | Average<br>First-day<br>Return | Average 3-year Buy-and-hold Return |                     |                    |
|-----------------------|-------------------|--------------------------------|------------------------------------|---------------------|--------------------|
|                       |                   |                                | IPOs                               | Market-<br>adjusted | Style-<br>adjusted |
| Sales < \$100 million |                   |                                |                                    |                     |                    |
| Tech                  | 937               | 17.6%                          | 43.0%                              | -12.7%              | 15.3%              |
| Non-Tech              | 1,289             | 12.0%                          | 16.5%                              | -35.4%              | -12.1%             |
| Sales > \$100 million |                   |                                |                                    |                     |                    |
| Tech                  | 546               | 16.5%                          | 62.2%                              | 15.6%               | 30.9%              |
| Non-Tech              | 2,347             | 9.4%                           | 36.9%                              | -8.5%               | 0.4%               |

**Panel D: Unprofitable issuers, categorized by sales and industry**

| LTM Sales             | Number<br>of IPOs | Average<br>First-day<br>Return | Average 3-year Buy-and-hold Return |                     |                    |
|-----------------------|-------------------|--------------------------------|------------------------------------|---------------------|--------------------|
|                       |                   |                                | IPOs                               | Market-<br>adjusted | Style-<br>adjusted |
| Sales < \$100 million |                   |                                |                                    |                     |                    |
| Tech                  | 789               | 22.8%                          | 28.4%                              | -19.2%              | 3.6%               |
| Non-Tech              | 1,499             | 15.1%                          | -7.7%                              | -48.8%              | -33.1%             |
| Sales > \$100 million |                   |                                |                                    |                     |                    |
| Tech                  | 417               | 23.7%                          | 41.2%                              | 11.1%               | 15.7%              |
| Non-Tech              | 501               | 10.4%                          | 26.1%                              | -11.4%              | -12.6%             |

**Table 16e (March 23, 2026)**  
**Distribution of 3-year and 5-year Buy-and-Hold Returns on IPOs, 1975-2021**

9,195 IPOs from 1975-2021 are used, with buy-and-hold returns calculated until the earlier of the 3-year or 5-year anniversary, the delisting date, or Dec. 31, 2025. All returns include dividends and capital gains. IPOs with an offer price below \$5.00 per share, unit offers, ADRs, REITs, closed end funds, SPACs, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. The average first-day return in Panel A is 18.7%, with an average 3-year buy-and-hold return (BHR) of 21.2% (median of -25.7%), measured from the first close, and 38.5% (median of -16.6%), measured from the offer price. In Panel B, the average first-day return is 13.4%, with a subsequent average 3-year buy-and-hold return of 38.1% (median of 2.6%), measured from the first close, and 54.3% (median of 13.9%), measured from the offer price. Sales is inflation-adjusted sales for the last twelve months (LTM) prior to the IPO, in dollars of January 2025 purchasing power using the CPI.

Panel A: All 9,195 operating company IPOs from 1975-2021

| 3-year buy-and-hold<br>return | From the first close |               | From the offer price |               |
|-------------------------------|----------------------|---------------|----------------------|---------------|
|                               | Number of IPOs       | Percentage    | Number of IPOs       | Percentage    |
| BHR<-50%                      | 3,537                | 38.5%         | 3,215                | 35.0%         |
| -50%<BHR≤0%                   | 1,979                | 21.5%         | 1,939                | 21.1%         |
| 0%<BHR≤50%                    | 1,333                | 14.5%         | 1,351                | 14.7%         |
| 50%<BHR≤100%                  | 873                  | 9.5%          | 910                  | 9.9%          |
| 100%<BHR≤200%                 | 759                  | 8.3%          | 880                  | 9.6%          |
| 200%<BHR≤500%                 | 552                  | 6.0%          | 679                  | 7.4%          |
| 500%<BHR≤1,000%               | 123                  | 1.3%          | 159                  | 1.7%          |
| 1,000%<BHR≤2,000%             | 27                   | 0.3%          | 45                   | 0.5%          |
| 2,000%<BHR≤3,000%             | 6                    | 0.1%          | 10                   | 0.1%          |
| 3,000%<BHR                    | 6                    | 0.1%          | 7                    | 0.1%          |
| <b>1975-2021</b>              | <b>9,195</b>         | <b>100.0%</b> | <b>9,195</b>         | <b>100.0%</b> |

Panel B: 4,112 IPOs with LTM Sales of \$100 million or more (\$2025)

| 3-year buy-and-hold<br>return | From the first close |               | From the offer price |               |
|-------------------------------|----------------------|---------------|----------------------|---------------|
|                               | Number of IPOs       | Percentage    | Number of IPOs       | Percentage    |
| BHR<-50%                      | 1,065                | 25.9%         | 932                  | 22.7%         |
| -50%<BHR≤0%                   | 940                  | 22.9%         | 897                  | 21.8%         |
| 0%<BHR≤50%                    | 770                  | 18.7%         | 764                  | 18.6%         |
| 50%<BHR≤100%                  | 533                  | 13.0%         | 540                  | 13.1%         |
| 100%<BHR≤200%                 | 452                  | 11.0%         | 532                  | 12.9%         |
| 200%<BHR≤500%                 | 291                  | 7.1%          | 365                  | 8.9%          |
| 500%<BHR≤1,000%               | 51                   | 1.2%          | 63                   | 1.5%          |
| 1,000%<BHR≤2,000%             | 8                    | 0.2%          | 14                   | 0.3%          |
| 2,000%<BHR≤3,000%             | 1                    | 0.0%          | 4                    | 0.1%          |
| 3,000%<BHR                    | 1                    | 0.0%          | 1                    | 0.0%          |
| <b>1975-2021</b>              | <b>4,112</b>         | <b>100.0%</b> | <b>4,112</b>         | <b>100.0%</b> |

**Table 16e** (continued)

The average first-day return in Panel C is 18.7%, with an average 5-year buy-and-hold return (BHR) of 37.8% (median of -32.0%), measured from the first close, and 57.2% (median of -22.1%), measured from the offer price. In Panel D, the average first-day return is 13.4%, with a subsequent average 5-year buy-and-hold return of 56.4% (median of -1.2%), measured from the first close, and 74.9% (median of 11.4%), measured from the offer price. Sales is inflation-adjusted sales for the last twelve months (LTM) prior to the IPO, in dollars of January 2025 purchasing power using the CPI. For the 2021 cohort, returns are calculated through Friday, Dec. 29, 2025 unless an IPO was delisted earlier. Columns may not add to 100% due to rounding.

Panel C: All 9,195 operating company IPOs from 1975-2021

| 5-year buy-and-hold<br>return | From the first close |               | From the offer price |               |
|-------------------------------|----------------------|---------------|----------------------|---------------|
|                               | Number of IPOs       | Percentage    | Number of IPOs       | Percentage    |
| BHR<-50%                      | 3,916                | 42.6%         | 3,646                | 39.7%         |
| -50%<BHR≤0%                   | 1,656                | 18.0%         | 1,598                | 17.4%         |
| 0%<BHR≤50%                    | 1,123                | 12.2%         | 1,133                | 12.3%         |
| 50%<BHR≤100%                  | 753                  | 8.2%          | 802                  | 8.7%          |
| 100%<BHR≤200%                 | 816                  | 8.9%          | 883                  | 9.6%          |
| 200%<BHR≤500%                 | 645                  | 7.0%          | 779                  | 8.5%          |
| 500%<BHR≤1,000%               | 188                  | 2.0%          | 224                  | 2.4%          |
| 1,000%<BHR≤2,000%             | 74                   | 0.8%          | 91                   | 1.0%          |
| 2,000%<BHR≤3,000%             | 13                   | 0.1%          | 25                   | 0.3%          |
| 3,000%<BHR                    | 11                   | 0.1%          | 14                   | 0.2%          |
| <b>1975-2021</b>              | <b>9,195</b>         | <b>100.0%</b> | <b>9,195</b>         | <b>100.0%</b> |

Panel D: 4,112 IPOs with LTM Sales of \$100 million or more (\$2025)

| 5-year buy-and-hold<br>return | From the first close |               | From the offer price |               |
|-------------------------------|----------------------|---------------|----------------------|---------------|
|                               | Number of IPOs       | Percentage    | Number of IPOs       | Percentage    |
| BHR<-50%                      | 1,221                | 29.7%         | 1,108                | 26.9%         |
| -50%<BHR≤0%                   | 821                  | 20.0%         | 792                  | 19.3%         |
| 0%<BHR≤50%                    | 623                  | 15.2%         | 610                  | 14.8%         |
| 50%<BHR≤100%                  | 465                  | 11.3%         | 477                  | 11.6%         |
| 100%<BHR≤200%                 | 495                  | 12.0%         | 523                  | 12.7%         |
| 200%<BHR≤500%                 | 358                  | 8.7%          | 441                  | 10.7%         |
| 500%<BHR≤1,000%               | 89                   | 2.2%          | 107                  | 2.6%          |
| 1,000%<BHR≤2,000%             | 35                   | 0.9%          | 43                   | 1.0%          |
| 2,000%<BHR≤3,000%             | 4                    | 0.1%          | 9                    | 0.2%          |
| 3,000%<BHR                    | 1                    | 0.0%          | 2                    | 0.0%          |
| <b>1975-2021</b>              | <b>4,112</b>         | <b>100.0%</b> | <b>4,112</b>         | <b>100.0%</b> |

**Table 16f** (updated February 16, 2026)

**Aftermarket Returns with and without Including the First-day Return**

9,253 operating company IPOs from 1980-2024 are used, with returns calculated through December 31, 2025. IPOs with an offer price below \$5.00 per share, unit offers, SPACs, ADRs, REITs, closed end funds, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. The market-adjusted and style-adjusted returns are the average buy-and-hold return on the IPOs minus the average compounded return on the benchmark. Further details are reported in the captions to Tables 16a and 16b. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue number of shares outstanding.

Tables 16c and 16d report similar numbers, but those tables exclude IPOs from the internet bubble years of 1999-2000.

**Panel A:**

**Long-run Returns Measured from the Offer Price on Tech and non-Tech IPOs, 1980-2024**

| Sector   | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|          |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech     | 3,334          | 31.2%                    | 50.1%                              | 15.6%           | 27.9%          |
| Non-Tech | 5,919          | 12.0%                    | 28.6%                              | -13.9%          | -2.8%          |
| All      | 9,253          | 18.9%                    | 36.3%                              | -3.3%           | 8.3%           |

**Panel B:**

**Long-run Returns Measured from the First Close on Tech and non-Tech IPOs, 1980-2024**

| Sector   | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|          |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech     | 3,334          | 31.2%                    | 21.8%                              | -12.7%          | -0.4%          |
| Non-Tech | 5,919          | 12.0%                    | 17.6%                              | -24.9%          | -13.7%         |
| All      | 9,253          | 18.9%                    | 19.1%                              | -20.5%          | -8.9%          |

**Table 17** (updated February 16, 2026)

**Long-run Returns on IPOs Categorized by VC-backing or Buyout Fund-backing**

All Last Twelve Months (LTM) sales figures for the firms going public have been converted into dollars of January 2025 purchasing power using the Consumer Price Index. IPOs from 1980-2024 are used, with returns calculated through the end of December 2025. In Panel A, the sample size is 9,253 firms. Growth capital-backed IPOs are included in the VC-backed category. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed-end funds, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. In Panel B, one additional screen is implemented, reducing the sample size. This additional screen is that the last twelve months (LTM) sales of the issuing firm is at least \$100 million (2024 purchasing power). Buy-and-hold returns are calculated from the first close until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. All returns include dividends and capital gains, including the index returns. Jerry Cao of the Hang Seng University of Hong Kong has assisted in providing data on the classification of IPOs as buyout-backed. Growth capital-backed IPOs are classified as VC-backed.

**Panel A: IPOs from 1980-2024 categorized by venture capital backing**

| VC-backed or not    | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|---------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                     |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed           | 3,733          | 27.0%                    | 21.6%                              | -13.6%          | -3.2%          |
| NonVC-backed        | 5,520          | 13.5%                    | 17.5%                              | -25.2%          | -12.8%         |
| NonVC and nonBuyout | 4,270          | 14.6%                    | 14.0%                              | -32.2%          | -16.3%         |
| 1980-2024           | 9,253          | 18.9%                    | 19.1%                              | -20.5%          | -8.9%          |

Note: The nonVC- and nonBuyout-backed IPOs do not include a minimum sales screen, unlike in Panel B.

**Panel B: IPOs with at least \$100 million in LTM sales (2025 purchasing power) from 1980-2024 categorized by private equity (buyout fund) backing**

| Buyout-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                      |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Buyout-backed        | 1,120          | 9.1%                     | 30.1%                              | -0.9%           | 0.5%           |
| NonBuyout-backed     | 2,990          | 15.2%                    | 38.8%                              | -4.1%           | 3.0%           |
| All                  | 4,110          | 13.6%                    | 36.4%                              | -3.2%           | 2.3%           |

**Table 17a** (updated February 16, 2026)

**Long-run Returns on IPOs Categorized by VC-, Growth Capital-, or Buyout Fund-backing**

9,253 IPOs from 1980-2024 are used, with returns calculated through the end of December 2023. Buy-and-hold returns are calculated from the first closing price until the earlier of the three-year anniversary or the delisting date (Friday, Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. All returns include dividends and capital gains. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. This table is an updated version of Table 3 of my “Growth Capital-backed IPOs” published in the 2015 *Financial Review*. Growth capital-backed IPOs are defined to be IPOs with a financial sponsor that is financing investments in tangible assets and/or acquisitions are a major part of its growth strategy. Buyouts involve the financial sponsor taking control by buying out prior shareholders. Corporate venture capital and angel investors are not included as financial sponsors.

|                         | Number<br>of IPOs | Average<br>First-day<br>Return | Average 3-year Buy-and-hold Return |                     |                    |
|-------------------------|-------------------|--------------------------------|------------------------------------|---------------------|--------------------|
|                         |                   |                                | IPOs                               | Market-<br>adjusted | Style-<br>adjusted |
| VC-backed               | 3,261             | 28.8%                          | 18.5%                              | -15.4%              | -4.3%              |
| Growth capital-backed   | 472               | 14.6%                          | 42.5%                              | -0.9%               | 4.9%               |
| Buyout-backed           | 1,250             | 9.5%                           | 29.4%                              | -1.4%               | -0.7%              |
| Financial Sponsored     | 4,983             | 22.6%                          | 23.5%                              | -10.5%              | -2.5%              |
| Non-Financial Sponsored | 4,270             | 14.6%                          | 14.0%                              | -32.2%              | -16.3%             |
| All                     | 9,253             | 18.9%                          | 19.1%                              | -20.5%              | -8.9%              |

Note: The high average 3-year buy-and-hold return for growth capital-backed IPOs is partly attributable, in a mechanical sense, to the six IPOs with the highest buy-and-hold returns in this subsample: The May 10, 1984 IPO of restaurant chain This Can't Be Yogurt (4,076.6%); the April 10, 1997 IPO of middleware software developer and distributor BEA Systems (2,562.2%); the November 15, 1989 IPO of original equipment manufacturer Solelectron (944.0%); the April 24, 1996 IPO of outdoor advertising (billboards) operator Outdoor Systems (935.1%); the February 9, 1983 IPO of health care provider United States Health Care (636.6%); and the September 19, 1989 IPO of health care provider Vencor (635.8%).

**Table 18** (updated February 16, 2026)

**Long-run Returns on IPOs Categorized by VC-backing, by Subperiod**

The sample is composed of 9,253 IPOs from 1980-2024, with returns calculated through the end of December 2025. Growth capital-backed IPOs are classified as venture capital (VC)-backed in all panels. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. All returns include dividends and capital gains. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Market capitalization (size) is calculated using the first closing market price after the IPO. All returns include dividends and capital gains, including the index returns.

**Panel A: IPOs from 1980-2024 categorized by venture capital backing**

| VC-backed or not | Number<br>of IPOs | Average<br>First-day<br>Return | Average 3-year Buy-and-hold Return |                     |                    |
|------------------|-------------------|--------------------------------|------------------------------------|---------------------|--------------------|
|                  |                   |                                | IPOs                               | Market-<br>adjusted | Style-<br>adjusted |
| VC-backed        | 3,733             | 27.0%                          | 21.6%                              | -13.6%              | -3.2%              |
| NonVC-backed     | 5,520             | 13.5%                          | 17.5%                              | -25.2%              | -12.8%             |
| All              | 9,253             | 18.9%                          | 19.1%                              | -20.5%              | -8.9%              |

**Panel B: IPOs from 1980-1989**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 513            | 8.6%                     | 31.9%                              | -14.0%          | 14.0%          |
| NonVC-backed     | 1,534          | 6.8%                     | 19.3%                              | -25.5%          | -1.8%          |
| All              | 2,047          | 7.2%                     | 22.5%                              | -22.6%          | 2.2%           |

**Panel C: IPOs from 1990-1998**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 1,266          | 17.3%                    | 60.7%                              | -1.1%           | 27.0%          |
| NonVC-backed     | 2,350          | 13.5%                    | 28.4%                              | -31.7%          | -14.7%         |
| All              | 3,616          | 14.8%                    | 39.7%                              | -21.0%          | -0.1%          |

**Panel D: IPOs from 1999-2000**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 525            | 80.9%                    | -62.3%                             | -40.5%          | -62.5%         |
| NonVC-backed     | 331            | 38.7%                    | -38.6%                             | -17.9%          | -53.3%         |
| All              | 856            | 64.6%                    | -53.1%                             | -31.8%          | -58.9%         |

**Panel E: IPOs from 2001-2024**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 1,429          | 22.4%                    | 14.0%                              | -14.5%          | -14.2%         |
| NonVC-backed     | 1,305          | 14.8%                    | 9.9%                               | -15.0%          | -12.0%         |
| All              | 2,734          | 18.8%                    | 12.0%                              | -14.7%          | -13.1%         |

**Table 18a** (updated February 18, 2026)**Long-run Returns on IPOs Categorized by VC-backing and Real Sales**

The sample is composed of 9,253 IPOs from 1980-2024, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price in Panels A and B, and from the offer price in Panels C and D, until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024. Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Sales are the trailing twelve month revenues listed in the IPO prospectus, measured in terms of dollars of January 2025 purchasing power using the CPI. The highest 3-year buy-and-hold return from the offer price is that of Yahoo!, an April 12, 1996 VC-backed IPO with low trailing sales that jumped 153.8% on the first day and then went up another 3,589.8% during the next three years.

**Panel A: IPOs with Sales<\$100 million from 1980-2024 categorized by VC-backing**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 2,655          | 28.5%                    | 10.3%                              | -23.5%          | -10.0%         |
| NonVC-backed     | 2,488          | 17.5%                    | 0.1%                               | -45.8%          | -26.3%         |
| All              | 5,143          | 23.2%                    | 5.3%                               | -34.3%          | -17.9%         |

**Panel B: IPOs with Sales>\$100 million from 1980-2024 categorized by VC-backing**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 1,078          | 23.4%                    | 49.3%                              | 11.0%           | 13.7%          |
| NonVC-backed     | 3,032          | 10.1%                    | 31.8%                              | -8.3%           | -1.7%          |
| All              | 4,110          | 13.6%                    | 36.4%                              | -3.2%           | 2.3%           |

**Panel C: IPOs with Sales<\$100 million, with returns measured from the offer price**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 2,655          | 28.5%                    | 32.7%                              | -1.2%           | 12.4%          |
| NonVC-backed     | 2,488          | 17.5%                    | 12.8%                              | -33.0%          | -13.5%         |
| All              | 5,143          | 23.2%                    | 23.0%                              | -16.6%          | -0.2%          |

**Panel D: IPOs with Sales>\$100 million, with returns measured from the offer price**

| VC-backed or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| VC-backed        | 1,078          | 23.4%                    | 79.4%                              | 41.1%           | 43.8%          |
| NonVC-backed     | 3,032          | 10.1%                    | 43.5%                              | 3.4%            | 9.9%           |
| All              | 4,110          | 13.6%                    | 52.9%                              | 13.3%           | 18.8%          |

**Table 18b** (updated February 17, 2026)**Long-run Returns on VC-backed and other IPOs Segmented by Industry, 1980-2024**

An earlier version of this table appears as Table 7 in “Going Public with IPOs and SPAC Mergers” by Rongbing Huang, Jay R. Ritter, and Donghang Zhang, forthcoming in *Research Handbook on the Structure of Private Equity and Venture Capital*. 9,253 IPOs from 1980-2024 are used, with returns calculated through December 31, 2025. IPOs with an offer price below \$5.00 per share, unit offers, SPACs, ADRs, REITs, closed end funds, natural resource partnerships, banks and S&Ls, small best efforts offers, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. of 2025 for IPOs from 2023 and 2024). The captions to Tables 2 and 6 provide industry classification details. Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. The market-adjusted and style-adjusted returns are the average buy-and-hold return on the IPOs minus the average compounded return on the benchmark. Market capitalization (size) is calculated using the first closing market price after the IPO and the post-issue number of shares outstanding.

**Panel A: Long-run Returns on VC-backed IPOs, by Industry, 1980-2024**

| Sector       | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|--------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|              |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech         | 2,004          | 37.3%                    | 26.5%                              | -4.8%           | 6.3%           |
| Life science | 818            | 15.6%                    | 8.7%                               | -24.8%          | -18.7%         |
| Other        | 911            | 14.5%                    | 22.2%                              | -22.7%          | -10.1%         |
| All          | 3,733          | 27.0%                    | 21.6%                              | -13.6%          | -3.2%          |

**Panel B: Long-run Returns on nonVC-backed IPOs, by Industry, 1980-2024**

| Sector       | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|--------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|              |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech         | 1,330          | 22.0%                    | 14.6%                              | -24.6%          | -10.6%         |
| Life science | 202            | 17.2%                    | 33.7%                              | -2.8%           | 22.3%          |
| Other        | 3,988          | 10.4%                    | 17.6%                              | -26.5%          | -15.3%         |
| All          | 5,520          | 13.5%                    | 17.5%                              | -25.2%          | -12.8%         |

Note: The high life science 3-year buy-and-hold return, measured from the first close, for the 202 nonVC-backed IPOs in Panel B is partly driven by the 2,444.8% return on the June 1980 IPO of Enzo Biochem and the 1,606.1% return on the August 2003 IPO of New River Pharmaceutical, which used a WR Hambrecht + Co auction to go public. Of the 1,020 life science IPOs during 1980-2024, these are two of the three top long-run performers, with the VC-backed July 1998 IPO of Abgenix being the third, with a 2,071.1% return. Moderna, a December 2018 VC-backed IPO, produced the fifth-highest return.

**Table 18c** (updated February 17, 2026)**Long-run Returns on VC-backed and other IPOs Segmented by Industry, 1999-2024**

An earlier version of this table appears as Table 8 in “Going Public with IPOs and SPAC Mergers” by Rongbing Huang, Jay R. Ritter, and Donghang Zhang, forthcoming in *Research Handbook on the Structure of Private Equity and Venture Capital*, edited by Brian Broughman and Elisabeth de Fontenay.

3,590 IPOs from 1999-2024 are used, with returns calculated through December 31, 2025. See the captions to Tables 2 and 6 in the book chapter above for a description of the sample and industry definitions.

**Panel A: Long-run Returns on VC-backed IPOs, by Industry, 1999-2024**

| Sector       | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|--------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|              |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech         | 1,042          | 54.3%                    | -13.0%                             | -19.6%          | -26.6%         |
| Life science | 609            | 18.3%                    | 2.0%                               | -23.8%          | -24.2%         |
| Other        | 303            | 22.3%                    | -1.3%                              | -23.6%          | -35.3%         |
| All          | 1,954          | 38.1%                    | -6.5%                              | -21.5%          | -27.2%         |

**Panel B: Long-run Returns on nonVC-backed IPOs, by Industry, 1999-2024**

| Sector       | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|--------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|              |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Tech         | 469            | 32.1%                    | -22.0%                             | -26.3%          | -38.4%         |
| Life science | 116            | 20.9%                    | 0.8%                               | -21.4%          | -16.1%         |
| Other        | 1,051          | 14.0%                    | 9.9%                               | -10.1%          | -12.7%         |
| All          | 1,636          | 19.7%                    | 0.1%                               | -15.5%          | -20.3%         |

**Table 18d** (April 7, 2026)**Long-run Returns on IPOs Categorized by Price-to-Sales (PSR) Ratios**

The sample is composed of 4,110 IPOs with inflation-adjusted (\$2025) trailing twelve month sales of at least \$100 million from 1980-2024, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price in Panel A, and from the offer price in Panel B, until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Sales are the trailing twelve month revenues listed in the IPO prospectus, measured in terms of dollars of January 2025 purchasing power using the CPI. Price-to-sales ratios are calculated using the post-issue number of shares outstanding, using all share classes. For calculating the PSR, in Panel A the first closing market price is used, and in Panel B the offer price is used.

**Panel A: IPOs with Sales>\$100 million, with returns measured from the first close**

| Price-to-Sales Ratio | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                      |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| PSR<5                | 3,384          | 8.9%                     | 41.3%                              | -1.3%           | 6.2%           |
| 5<PSR<10             | 395            | 24.1%                    | 20.7%                              | -8.0%           | -15.9%         |
| 10<PSR<20            | 198            | 36.6%                    | 18.5%                              | -7.7%           | -3.2%          |
| 20<PSR<40            | 87             | 55.9%                    | 2.9%                               | -16.3%          | -12.4%         |
| 40<PSR               | 46             | 93.6%                    | -44.8%                             | -58.5%          | -75.9%         |
| All                  | 4,110          | 13.6%                    | 36.4%                              | -3.2%           | 2.3%           |

**Panel B: IPOs with Sales>\$100 million, with returns measured from the offer price**

| Price-to-Sales Ratio | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                      |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| PSR<5                | 3,501          | 10.2%                    | 54.2%                              | 12.0%           | 18.9%          |
| 5<PSR<10             | 377            | 26.8%                    | 58.0%                              | 30.7%           | 27.4%          |
| 10<PSR<20            | 159            | 42.7%                    | 26.3%                              | 6.1%            | 10.6%          |
| 20<PSR<40            | 59             | 50.2%                    | 27.4%                              | 4.1%            | -8.7%          |
| 40<PSR               | 14             | 35.4%                    | 3.1%                               | -15.4%          | -10.0%         |
| All                  | 4,110          | 13.6%                    | 52.9%                              | 13.3%           | 18.8%          |

Of the 14 IPOs with sales>\$100 million and a price-to-sales ratio at the offer price of more than 40, 12 of the 14 subsequently underperformed the market if bought at the first close during their first three years, with the exceptions being the 2014 IPO of Mobileeye NV and the 2024 IPO of Astera Labs. The 2021 IPO of Nu Holdings outperformed if bought at the offer price.

**Table 18e** (April 8, 2026)

**Long-run Returns on IPOs Categorized by the Public Float**

The sample is composed of 4,110 IPOs with inflation-adjusted (\$2025) trailing twelve month sales of at least \$100 million from 1980-2024, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price in Panel A, and from the offer price in Panel B, until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Sales are the trailing twelve month revenues listed in the IPO prospectus, measured in terms of dollars of January 2025 purchasing power using the CPI. Float percentages are calculated using the post-issue number of shares outstanding, using all share classes, but with the numerator not including overallotment option shares. If overallotment shares are included, many IPOs with a measured float of 9.9% actually would be closer to 11.4%.

**Panel A: IPOs with Sales>\$100 million, with returns measured from the first close**

| Float             | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                   |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Float ≤ 10%       | 186            | 32.4%                    | 23.7%                              | -5.3%           | 0.1%           |
| 10% < Float ≤ 20% | 1,098          | 20.3%                    | 35.5%                              | 0.1%            | 5.5%           |
| 20% < Float ≤ 30% | 1,207          | 11.7%                    | 42.3%                              | 0.1%            | 5.8%           |
| 30% < Float ≤ 40% | 841            | 8.9%                     | 39.1%                              | -3.3%           | 3.8%           |
| 40% < Float       | 778            | 7.6%                     | 28.8%                              | -12.6%          | -8.6%          |
| All               | 4,110          | 13.6%                    | 36.4%                              | -3.2%           | 2.3%           |

**Panel B: IPOs with Sales>\$100 million, with returns measured from the offer price**

| Float             | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                   |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Float ≤ 10%       | 186            | 32.4%                    | 53.6%                              | 24.6%           | 30.0%          |
| 10% < Float ≤ 20% | 1,098          | 20.3%                    | 59.8%                              | 21.4%           | 29.8%          |
| 20% < Float ≤ 30% | 1,207          | 11.7%                    | 58.2%                              | 16.1%           | 21.7%          |
| 30% < Float ≤ 40% | 841            | 8.9%                     | 50.5%                              | 8.1%            | 15.2%          |
| 40% < Float       | 778            | 7.6%                     | 37.4%                              | -3.9%           | 0.1%           |
| All               | 4,110          | 13.6%                    | 52.9%                              | 13.3%           | 18.8%          |

**Table 19: Updated Table I of Ritter and Welch 2002 *Journal of Finance* article**

**Number of IPOs, First-day Returns, and Long Run Performance, IPOs from 1980-2024**  
(Updated February 16, 2026)

The equally weighted (EW) average first-day return is measured from the offer price to the first CRSP-listed closing price. EW average three-year buy-and-hold percentage returns (capital gains plus dividends) are calculated from the first closing market price to the earlier of the three-year anniversary price, the delisting price, or December 31, 2025 (a Friday). Buy-and-hold returns for initial public offerings (IPOs) occurring after Dec. 31, 2024 are not calculated. Market-adjusted returns are calculated as the buy-and-hold return on an IPO minus the compounded daily return on the CRSP value-weighted index of Amex, Nasdaq, and NYSE firms. Style-adjusted buy-and-hold returns are calculated as the difference between the return on an IPO and a style-matched firm. For each IPO, a non-IPO matching firm that has been CRSP-listed for at least five years with the closest market capitalization (size) and book-to-market ratio as the IPO is used. Market capitalization is calculated using the first closing market price after the IPO. If this stock is delisted prior to the IPO return's ending date, or if it conducts a follow-on stock offering, a replacement matching firm is spliced in on a point-forward basis. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offers, natural resource limited partnerships, REITs, closed-end funds, banks and S&Ls, ADRs, and IPOs not listed on CRSP within six months of issuing have been excluded. Data is from Thomson Financial Securities Data, with supplements from Dealogic and other sources, and corrections by the authors. The number of IPOs per year is much lower for the early 1980s than in the 1995 *Journal of Finance* article "The New Issues Puzzle" by Loughran and Ritter because that paper used a \$1.00 offer price screen. The number is larger than in the 2002 *Journal of Finance* article "A Review of IPO Activity, Pricing, and Allocations" due to various data corrections and the back-filling of Nasdaq-listed foreign issuers by CRSP.

| Year      | Number of IPOs | Average First-day Return | Average One-year Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------|----------------|--------------------------|-------------------------|------------------------------------|-----------------|----------------|
|           |                |                          |                         | IPOs                               | Market-adjusted | Style-adjusted |
| 1980      | 71             | 14.3%                    | 28.7%                   | 89.8%                              | 37.0%           | 18.5%          |
| 1981      | 192            | 5.9%                     | -10.5%                  | 12.3%                              | -27.0%          | 11.0%          |
| 1982      | 77             | 11.0%                    | 101.8%                  | 37.5%                              | -31.5%          | -12.0%         |
| 1983      | 451            | 9.9%                     | -19.2%                  | 15.9%                              | -37.7%          | -4.4%          |
| 1984      | 171            | 3.7%                     | 20.0%                   | 50.2%                              | -28.5%          | 29.0%          |
| 1985      | 186            | 6.4%                     | 23.6%                   | 5.6%                               | -41.3%          | -12.3%         |
| 1986      | 393            | 6.2%                     | 9.5%                    | 16.9%                              | -22.6%          | -1.3%          |
| 1987      | 285            | 5.6%                     | -21.5%                  | -2.6%                              | -19.1%          | -11.2%         |
| 1988      | 105            | 5.5%                     | 28.7%                   | 58.0%                              | 9.7%            | 38.7%          |
| 1989      | 116            | 8.0%                     | -5.5%                   | 48.1%                              | 13.2%           | 7.2%           |
| 1990      | 110            | 10.8%                    | 4.0%                    | 9.7%                               | -35.9%          | -38.4%         |
| 1991      | 286            | 11.9%                    | 10.5%                   | 31.2%                              | -1.8%           | 5.8%           |
| 1992      | 412            | 10.3%                    | 20.5%                   | 37.4%                              | -0.2%           | 11.1%          |
| 1993      | 510            | 12.7%                    | 3.0%                    | 44.1%                              | -8.7%           | -9.5%          |
| 1994      | 402            | 9.6%                     | 27.8%                   | 78.0%                              | -5.7%           | -0.9%          |
| 1995      | 462            | 21.4%                    | 26.5%                   | 28.6%                              | -58.0%          | -24.7%         |
| 1996      | 677            | 17.2%                    | 7.1%                    | 25.2%                              | -56.8%          | 7.0%           |
| 1997      | 474            | 14.0%                    | 8.0%                    | 58.3%                              | -2.0%           | 22.0%          |
| 1998      | 283            | 21.8%                    | 18.4%                   | 22.9%                              | 5.1%            | -4.9%          |
| 1999      | 476            | 71.2%                    | 22.1%                   | -47.6%                             | -32.5%          | -60.6%         |
| 2000      | 380            | 56.4%                    | -52.9%                  | -60.1%                             | -30.9%          | -56.9%         |
| 2001      | 80             | 14.0%                    | -14.3%                  | 18.0%                              | 14.6%           | -27.8%         |
| 2002      | 66             | 9.1%                     | 3.1%                    | 68.6%                              | 39.0%           | -0.4%          |
| 2003      | 63             | 11.7%                    | 25.7%                   | 34.0%                              | -7.7%           | -11.2%         |
| 2004      | 173            | 12.3%                    | 17.8%                   | 51.4%                              | 6.9%            | -7.0%          |
| 2005      | 159            | 10.3%                    | 19.0%                   | 14.6%                              | 3.1%            | -2.5%          |
| 2006      | 157            | 12.1%                    | 21.4%                   | -28.8%                             | -11.1%          | -4.5%          |
| 2007      | 159            | 14.0%                    | -28.4%                  | -16.5%                             | -0.4%           | 0.5%           |
| 2008      | 21             | 5.7%                     | -34.4%                  | 11.4%                              | 8.1%            | 5.1%           |
| 2009      | 41             | 9.8%                     | 11.5%                   | 37.0%                              | -5.1%           | -18.3%         |
| 2010      | 91             | 9.4%                     | 15.7%                   | 36.4%                              | -9.6%           | -18.5%         |
| 2011      | 81             | 13.9%                    | -12.2%                  | 38.6%                              | -8.7%           | -11.6%         |
| 2012      | 93             | 17.7%                    | 35.7%                   | 81.9%                              | 31.8%           | 33.4%          |
| 2013      | 158            | 20.9%                    | 12.8%                   | 12.1%                              | -14.4%          | -16.1%         |
| 2014      | 206            | 15.5%                    | 20.1%                   | 17.1%                              | -9.7%           | -12.5%         |
| 2015      | 118            | 19.2%                    | -23.8%                  | 24.5%                              | -9.9%           | -27.3%         |
| 2016      | 75             | 14.5%                    | 23.3%                   | 70.5%                              | 29.5%           | 27.0%          |
| 2017      | 106            | 12.9%                    | 32.4%                   | 52.8%                              | 22.6%           | 35.6%          |
| 2018      | 134            | 18.6%                    | -6.8%                   | 79.1%                              | 23.4%           | 55.8%          |
| 2019      | 113            | 23.5%                    | 33.0%                   | 12.5%                              | -25.1%          | -8.8%          |
| 2020      | 165            | 41.6%                    | 9.9%                    | -48.1%                             | -78.6%          | -75.7%         |
| 2021      | 311            | 32.1%                    | -49.1%                  | -49.1%                             | -68.6%          | -42.3%         |
| 2022      | 38             | 48.9%                    | -27.7%                  | -29.5%                             | -72.2%          | -69.9%         |
| 2023      | 54             | 11.9%                    | -11.6%                  | -30.9%                             | -88.3%          | -84.7%         |
| 2024      | 72             | 15.4%                    | -17.4%                  | -4.7%                              | -33.2%          | -12.3%         |
| 1980-1989 | 2,047          | 7.2%                     | 3.4%                    | 22.5%                              | -22.6%          | 2.2%           |
| 1990-1998 | 3,616          | 14.8%                    | 14.0%                   | 39.7%                              | -21.0%          | -0.1%          |
| 1999-2000 | 856            | 64.6%                    | -11.2%                  | -53.1%                             | -31.8%          | -58.9%         |
| 2001-2010 | 1,010          | 11.6%                    | 6.7%                    | 17.1%                              | 2.2%            | -7.6%          |
| 2011-2024 | 1,724          | 23.0%                    | -1.7%                   | 9.1%                               | -24.7%          | -16.4%         |
| 1980-2024 | 9,253          | 18.9%                    | 5.6%                    | 19.1%                              | -20.5%          | -8.9%          |

**Table 19a** (updated February 16, 2026)**Long-run Returns on IPOs Categorized by Sales, by Subperiod**

The sample is composed of 9,253 IPOs from 1980-2024, with returns calculated through the end of December 2025. Sales are the trailing twelve months reported in the IPO prospectus, converted to dollars of January \$2025 purchasing power using the CPI. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Market capitalization (size) is calculated using the first closing market price after the IPO. All returns include dividends and capital gains, including the index returns.

**Panel A: IPOs from 1980-2000 categorized by annual sales (\$2025)**

| Small or large sales? | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                       |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| \$100 million or less | 3,937          | 23.9%                    | 9.2%                               | -34.1%          | -14.2%         |
| Greater than \$100 mm | 2,582          | 11.4%                    | 41.8%                              | -5.9%           | 3.6%           |
| All                   | 6,519          | 19.0%                    | 22.1%                              | -22.9%          | -7.1%          |

**Panel B: IPOs from 2001-2024 categorized by annual sales (\$2025)**

| Small or large sales? | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                       |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| \$100 million or less | 1,206          | 20.6%                    | -7.3%                              | -34.9%          | -29.9%         |
| Greater than \$100 mm | 1,528          | 17.3%                    | 27.3%                              | 1.2%            | 0.1%           |
| All                   | 2,734          | 18.8%                    | 12.0%                              | -14.7%          | -13.1%         |

**Table 19b** (February 18, 2026)**Long-run Returns on IPOs Categorized by Whether the Midpoint of the Original File Price Range Was Less than \$8 or Not, including Penny Stocks, IPOs from 2001-2024**

The sample is composed of 2,913 IPOs from 2001-2024, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share are included. Unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. All returns include dividends and capital gains. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Market capitalization (size) is calculated using the first closing market price after the IPO. All returns include dividends and capital gains, including the index returns.

Of the 331 IPOs with a file price range of below \$8, 179 had an offer price below \$5. These 179 IPOs had average first-day returns that are even higher, and 3-year buy-and-hold returns that are even worse, than those IPOs priced at \$5 or \$6.

Penny stock IPOs were rare in 2001-2020, but there have been many in 2021-2024 (and 2025), as shown in Table 15.

**Panel A: IPOs from 2001-2024 categorized by file price range midpoint**

| File price range midpoint | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|---------------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                           |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Less than \$8.00          | 331            | 53.7%                    | -52.4%                             | -86.4%          | -62.7%         |
| \$8.00 or more            | 2,582          | 17.7%                    | 16.2%                              | -10.3%          | -9.6%          |
| All                       | 2,913          | 21.7%                    | 8.4%                               | -18.9%          | -15.6%         |

**Panel B: Low file price midpoint IPOs from 2001-2024 categorized by profitability**

| Profitable or not?   | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|----------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                      |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Last 12 months EPS<0 | 182            | 39.0%                    | -35.0%                             | -69.9%          | -42.8%         |
| Last 12 months EPS>0 | 149            | 71.6%                    | -73.6%                             | -106.6%         | -87.0%         |
| All                  | 331            | 53.7%                    | -52.4%                             | -86.4%          | -62.7%         |

**Table 19c** (February 18, 2026)

**Long-run Returns on IPOs Categorized by Whether the Offer Price Was Less than \$5, Exactly \$5, or Above \$5, IPOs from 2001-2024**

The sample is composed of 2,913 IPOs from 2001-2024, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share are included. Unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price (in Panel A) and from the offer price (in Panel B) until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. All returns include dividends and capital gains. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Market capitalization (size) is calculated using the first closing market price after the IPO. All returns include dividends and capital gains, including the index returns. There have been 179 IPOs with an offer price below \$5, and 101 with an offer price of exactly \$5. Penny stock IPOs were rare in 2001-2020, but there have been many in 2021-2024 (and 2025), as shown in Table 15.

**Panel A: IPO Returns from 2001-2024 categorized by the offer price (from 1<sup>st</sup> close)**

| Offer Price      | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Less than \$5.00 | 179            | 67.1%                    | -46.3%                             | -82.6%          | -53.7%         |
| \$5.00           | 101            | 29.5%                    | -56.8%                             | -91.3%          | -69.9%         |
| More than \$5.00 | 2,633          | 18.4%                    | 14.7%                              | -11.8%          | -11.0%         |
| All              | 2,913          | 21.7%                    | 8.4%                               | -18.9%          | -15.6%         |

**Panel B: Penny Stock IPO Average 3-year Returns from 2001-2024 from the Offer Price**

|                  |     |       |        |        |        |
|------------------|-----|-------|--------|--------|--------|
| Less than \$5.00 | 179 | 67.1% | -44.6% | -80.9% | -52.0% |
|------------------|-----|-------|--------|--------|--------|

**Panel C: IPO Median Sales, Age, and Price-to-Sales Ratio, Valued at the 1st Close**

| Offer Price      | Number of IPOs | Median Sales (\$2025) | Median Age | Median Price-to-Sales Ratio |                   |
|------------------|----------------|-----------------------|------------|-----------------------------|-------------------|
|                  |                |                       |            | Using Offer Price           | Using First Close |
| Less than \$5.00 | 179            | 10.5                  | 7          | 7.6                         | 8.5               |
| \$5.00           | 101            | 4.4                   | 7          | 15.3                        | 20.6              |
| More than \$5.00 | 2,633          | 148.9                 | 11         | 5.9                         | 6.8               |
| All              | 2,913          | 116.8                 | 10         | 6.1                         | 7.1               |

**Table 19d** (February 19, 2026)

**Characteristics of IPOs from 2024-2025 Categorized by Whether the Midpoint of the Offer Price Was Less than \$5, Exactly \$5, or Above \$5**

The sample is composed of 339 operating company IPOs from 2024-2025. Unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Trailing twelve month sales are in dollars of January 2025 purchasing power. Price-to-sales ratios use the post-issue number of shares outstanding and trailing sales. Proceeds are in millions and do not include overallotment shares. There have been 177 IPOs with an offer price below \$5, 19 with an offer price of exactly \$5, and 143 with an offer price above \$5.00.

**Panel A: Percentage of profitable companies (trailing twelve months)**

| Offer Price      | Number of IPOs | Percentage profitable | Percentage foreign | Mean proceeds, \$m | Mean 1 <sup>st</sup> day return, % |
|------------------|----------------|-----------------------|--------------------|--------------------|------------------------------------|
| Less than \$5.00 | 177            | 65%                   | 85%                | \$8.2 m            | 8.6%                               |
| \$5.00           | 19             | 79%                   | 79%                | \$9.6 m            | 22.0%                              |
| More than \$5.00 | 143            | 37%                   | 17%                | \$414.5 m          | 23.3%                              |
| All              | 339            | 54%                   | 56%                | \$179.7m           | 15.5%                              |

**Panel B: IPO Median Sales, Age, and Price-to-Sales Ratio, valued at the first close**

| Offer Price      | Number of IPOs | Median Sales (\$2025) | Median Age | Median Price-to-Sales Ratio |                   |
|------------------|----------------|-----------------------|------------|-----------------------------|-------------------|
|                  |                |                       |            | Using Offer Price           | Using First Close |
| Less than \$5.00 | 177            | 8.9                   | 9          | 8.7                         | 9.0               |
| \$5.00           | 19             | 29.9                  | 12         | 8.9                         | 11.5              |
| More than \$5.00 | 143            | 184.8                 | 12         | 7.1                         | 8.1               |
| All              | 339            | 17.9                  | 10         | 8.5                         | 8.8               |

**Panel C: Categorized by Listing Exchange**

| Offer Price      | Number of IPOs | Mean 1 <sup>st</sup> -day Return | Listing Exchange |           |      |
|------------------|----------------|----------------------------------|------------------|-----------|------|
|                  |                |                                  | Nasdaq           | NYSE Amer | NYSE |
| Less than \$5.00 | 177            | 8.6%                             | 155              | 22        | 0    |
| \$5.00           | 19             | 22.0%                            | 16               | 3         | 0    |
| More than \$5.00 | 143            | 23.3%                            | 81               | 8         | 54   |
| All              | 339            | 15.5%                            | 252              | 33        | 54   |

**Table 19e (February 17, 2026)**

**Long-run Returns on IPOs from 2001-2024 Categorized by the First-day Return**

The sample is composed of 2,734 operating company IPOs from 2001-2024. Penny stocks (offer price below \$5 per share), unit offers, small best efforts offerings, ADRs, REITs, closed end funds, SPACs, natural resource limited partnerships, banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first closing market price until the earlier of the three-year anniversary or the delisting date (Dec. 31 of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. All returns include dividends and capital gains. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. Market capitalization (size) is calculated using the first closing market price after the IPO. All returns include dividends and capital gains, including the index returns.

Before 2001, zero first-day returns were more common, and negative returns less common, due to wider bid-ask spreads before stock prices started to be quoted in pennies. The relation between first-day returns and subsequent buy-and-hold returns before 2001 was not as strong as since then.

Although the table shows that companies that drop on the first day of trading subsequently underperform over the next three years, there are exceptions. For example, Academy Sports & Outdoors went public on October 2, 2020 at \$13.00 per share and closed down a penny at \$12.99. Over the next three years, the stock had a 256.2% return, substantially beating the market. 442 out of 654 (67.6%) “broken” IPOs had negative 3-year buy-and-hold returns, however.

| First-day return | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                  |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Negative         | 654            | -8.9%                    | -3.8%                              | -32.0%          | -23.2%         |
| Exactly zero     | 153            | 0.0%                     | 10.4%                              | -15.8%          | -3.8%          |
| Positive         | 1,927          | 29.6%                    | 17.5%                              | -8.5%           | -10.3%         |
| All              | 2,734          | 18.8%                    | 12.0%                              | -14.7%          | -13.1%         |

**Table 20** (updated July 7, 2026)**Returns on IPOs during the five years after issuing, for IPOs from 1980-2024**

These tables show that IPOs have underperformed other firms of the same size (market cap) by an average of 3.6% per year during the five years after issuing, not including the first-day return. The underperformance relative to other firms of the same size and book-to-market ratio has averaged 2.1% per year on an equally weighted basis. Returns are through Dec. 31, 2025.

**Table 20-1****Percentage returns on IPOs from 1980-2024 during the first five years after issuing**

|                       | First<br>six<br>months | Second<br>six<br>months | First<br>Year | Second<br>year | Third<br>year | Fourth<br>year | Fifth<br>Year | Geometric<br>Mean<br>years 1-5 |
|-----------------------|------------------------|-------------------------|---------------|----------------|---------------|----------------|---------------|--------------------------------|
| IPO firms             | 4.9%                   | -0.0%                   | 5.6%          | 5.8%           | 11.8%         | 20.5%          | 10.0%         | 10.6%                          |
| Size-matched          | 5.5%                   | 5.5%                    | 11.4%         | 13.7%          | 15.6%         | 16.3%          | 12.5%         | 13.9%                          |
| Difference            | -0.6%                  | -5.5%                   | -5.8%         | -7.9%          | -3.8%         | 4.2%           | -2.5%         | -3.3%                          |
| IPO firms             | 4.9%                   | -0.0%                   | 5.6%          | 5.8%           | 11.8%         | 20.5%          | 10.0%         | 10.6%                          |
| Size & BM-<br>Matched | 4.3%                   | 4.0%                    | 8.4%          | 12.6%          | 12.6%         | 16.8%          | 12.4%         | 12.5%                          |
| Difference            | 0.6%                   | -4.0%                   | -2.8%         | -6.8%          | -0.8%         | 3.7%           | -2.4%         | -1.9%                          |
| No. of IPOs           | 9,254                  | 9,231                   | 9,254         | 9,030          | 8,278         | 7,359          | 6,325         |                                |

All returns are equally weighted average returns for all IPOs that are traded on Nasdaq, the Amex (now NYSE MKT), or the NYSE at the start of a period. For the first and third columns, the returns are measured from the closing market price on the first day of CRSP-reported trading until the sixth-month or one-year anniversary. For years 2-5, each year the portfolios are rebalanced to equal weights. If an issuing firm is delisted within a year, its return for that year is calculated by compounding the CRSP value-weighted market index for the rest of the year. For the size-matched returns, each IPO is matched with the nonissuing firm having the same or next higher market capitalization (using the closing market price on the first day of trading for the IPO, and the market capitalization at the end of the previous month for the matching firms). For the size & BM-matched returns, each IPO with a book-to-market ratio higher than zero is matched with a nonissuing firm in the same size decile (using NYSE firms only for determining the decile breakpoints) having the closest book-to-market ratio. Each IPO with a zero or smaller book-to-market ratio is matched with a nonissuing firm of a book-to-market ratio of zero or smaller having the closest market capitalization. For the IPOs, book-to-market ratios are calculated using the first recorded post-issue book value and the post-issue market cap calculated using the closing market price on the first CRSP-listed day of trading. For nonissuing firms, the Compustat-listed book value of equity for the most recent fiscal year ending at least four months prior to the IPO date is used, along with the market cap at the close of trading at month-end prior to the month of the IPO with which it is matched. Nonissuing firms are those that have been listed on the Amex-Nasdaq-NYSE for at least five years, without issuing equity for cash during that time. If a nonissuer subsequently issues equity, it is still used as the matching firm. If a nonissuer gets delisted prior to the delisting (or the fifth anniversary), the second-closest matching firm on the original IPO date is substituted, on a point-forward basis. For firms with multiple classes of stock outstanding, market cap is calculated using the offer price and the total number of shares outstanding across all classes of stock as reported in Compustat. Firms with multiple classes of stock are excluded as potential matching candidates. The sample size is 9,254 IPOs from 1980-2024, excluding IPOs with an offer price of less than \$5.00, ADRs, REITs, acquisition funds, closed-end funds, banks and S&Ls, unit offers, small best efforts deals, and oil & gas limited partnerships. IPOs that are not listed on CRSP within six months of the IPO are excluded. For IPOs from 1980 and later, if book value numbers are missing so that no style-matched firm is available as a benchmark, the value-weighted market return is used for the matching firm return. Returns are measured through December 31, 2025. For partial event-years that end on this date, the last partial year is deleted from the computations. For example, for an IPO on March 15, 2024, its first-year return is included, but not the second-year return.

**Table 20-2****Percentage returns on IPOs from 1980-1989 during the first five years after issuing**

|                       | First<br>six<br>months | Second<br>six<br>months | First<br>year | Second<br>year | Third<br>Year | Fourth<br>year | Fifth<br>year | Geometric<br>mean<br>years 1-5 |
|-----------------------|------------------------|-------------------------|---------------|----------------|---------------|----------------|---------------|--------------------------------|
| IPO firms             | 3.6%                   | -0.8%                   | 3.4%          | 9.6%           | 12.1%         | 2.3%           | 8.1%          | 7.0%                           |
| Size-matched          | 3.7%                   | 3.4%                    | 7.0%          | 16.6%          | 16.7%         | 7.3%           | 10.1%         | 11.5%                          |
| Difference            | -0.1%                  | -4.2%                   | -3.6%         | -7.0%          | -4.6%         | -5.0%          | -2.0%         | -4.5%                          |
| IPO firms             | 3.6%                   | -0.8%                   | 3.4%          | 9.6%           | 12.1%         | 2.3%           | 8.1%          | 7.0%                           |
| Size & BM-<br>Matched | -0.1%                  | 1.5%                    | 0.9%          | 14.6%          | 9.4%          | 4.4%           | 11.1%         | 8.0%                           |
| Difference            | 3.7%                   | -2.3%                   | 2.5%          | -5.0%          | 2.7%          | -2.1%          | -3.0%         | -1.0%                          |
| No. of IPOs           | 2,047                  | 2,041                   | 2,047         | 2,013          | 1,868         | 1,706          | 1,558         |                                |

**Table 20-3****Percentage returns on IPOs from 1990-1999 during the first five years after issuing**

|                       | First<br>six<br>months | Second<br>six<br>months | First<br>year | Second<br>year | Third<br>Year | Fourth<br>year | Fifth<br>year | Geometric<br>mean<br>years 1-5 |
|-----------------------|------------------------|-------------------------|---------------|----------------|---------------|----------------|---------------|--------------------------------|
| IPO firms             | 12.9%                  | 3.6%                    | 14.9%         | 7.8%           | 9.2%          | 25.5%          | 12.9%         | 13.9%                          |
| Size-matched          | 6.6%                   | 8.6%                    | 15.8%         | 17.8%          | 16.3%         | 20.3%          | 15.8%         | 17.2%                          |
| Difference            | 6.3%                   | -5.0%                   | -0.9%         | -10.0%         | -7.1%         | 5.2%           | -2.9%         | -3.3%                          |
| IPO firms             | 12.9%                  | 3.6%                    | 14.9%         | 7.8%           | 9.1%          | 25.5%          | 13.0%         | 13.9%                          |
| Size & BM-<br>matched | 7.1%                   | 7.3%                    | 14.9%         | 15.7%          | 12.2%         | 24.3%          | 13.6%         | 16.1%                          |
| Difference            | 5.8%                   | -3.7%                   | 0.0%          | -7.9%          | -3.1%         | 1.2%           | -0.6%         | -2.2%                          |
| No. of IPOs           | 4,092                  | 4,087                   | 4,092         | 4,019          | 3,640         | 3,190          | 2,763         |                                |

**Table 20-4****Percentage returns on IPOs from 2000-2009 during the first five years after issuing**

|                       | First<br>six<br>months | Second<br>six<br>months | First<br>year | Second<br>year | Third<br>year | Fourth<br>year | Fifth<br>year | Geometric<br>mean<br>years 1-5 |
|-----------------------|------------------------|-------------------------|---------------|----------------|---------------|----------------|---------------|--------------------------------|
| IPO firms             | -8.8%                  | -8.2%                   | -11.3%        | -2.4%          | 19.7%         | 30.0%          | 7.5%          | 7.7%                           |
| Size-matched          | 5.1%                   | 2.2%                    | 8.4%          | 3.1%           | 8.8%          | 19.1%          | 8.3%          | 9.4%                           |
| Difference            | -13.9%                 | -10.4%                  | -19.7%        | -5.5%          | 10.9%         | 10.9%          | -0.8%         | -1.7%                          |
| IPO firms             | -8.8%                  | -8.2%                   | -11.3%        | -2.4%          | 19.7%         | 30.0%          | 7.5%          | 7.7%                           |
| Size & BM-<br>matched | 0.3%                   | -0.1%                   | 1.2%          | 4.1%           | 13.5%         | 22.9%          | 12.6%         | 10.6%                          |
| Difference            | -9.1%                  | -8.3%                   | -12.5%        | -6.5%          | 6.2%          | 7.1%           | -5.1%         | -2.9%                          |
| No. of IPOs           | 1,299                  | 1,291                   | 1,299         | 1,270          | 1,163         | 1,024          | 918           |                                |

**Table 20-5****Percentage returns on IPOs from 2010-2024 during the first five years after issuing**

|                       | First<br>six<br>months | Second<br>six<br>months | First<br>year | Second<br>year | Third<br>year | Fourth<br>year | Fifth<br>year | Geometric<br>mean<br>years 1-5 |
|-----------------------|------------------------|-------------------------|---------------|----------------|---------------|----------------|---------------|--------------------------------|
| IPO firms             | -1.7%                  | -1.5%                   | -0.8%         | 2.9%           | 11.7%         | 24.3%          | 7.3%          | 8.7%                           |
| Size-matched          | 5.3%                   | 3.5%                    | 8.6%          | 8.8%           | 17.5%         | 16.2%          | 11.2%         | 12.4%                          |
| Difference            | -7.0%                  | -5.0%                   | -9.4%         | -5.9%          | -5.8%         | 8.1%           | -3.9%         | -3.7%                          |
| IPO firms             | -1.7%                  | -1.5%                   | -0.8%         | 2.9%           | 11.7%         | 24.3%          | 7.3%          | 8.7%                           |
| Size & BM-<br>matched | 5.7%                   | 2.1%                    | 7.3%          | 9.3%           | 16.5%         | 16.2%          | 11.0%         | 12.0%                          |
| Difference            | -7.4%                  | -3.6%                   | -8.1%         | -6.4%          | -4.8%         | 8.1%           | -3.7%         | -3.3%                          |
| No. of IPOs           | 1,816                  | 1,812                   | 1,816         | 1,728          | 1,607         | 1,439          | 1,086         |                                |

Returns are through December 31, 2025. Thus, the fifth-year returns are only for those IPOs from 2010 to 2020, and the fourth-year returns are only for those IPOs from 2010 to 2021, etc. Note that the fifth-year returns are available only for those IPOs that survived for at least four years.

Note: The 20171220 best efforts IPO of Dogness raised over \$50 million and should not have been excluded in other tables.

**Table 24** (updated February 17, 2026)

**Long-run Returns on IPOs Categorized by Dual Class Status**

9,253 IPOs from 1980-2024 are used, with returns calculated through the end of December 2025. IPOs with an offer price below \$5.00 per share, unit offers, small best efforts offerings, ADRs, REITs, closed-end funds, natural resource limited partnerships (all of which have dual class structures), banks and S&Ls, and IPOs not listed on CRSP within six months of the offer date are excluded. Buy-and-hold returns are calculated from the first close until the earlier of the three-year anniversary or the delisting date (the end December of 2025 for IPOs from 2023 and 2024). Market-adjusted returns use the CRSP value-weighted index. Style adjustments use firms matched by market cap and book-to-market ratio with at least five years of CRSP listing and no follow-on equity issues in the prior five years. All returns include dividends and capital gains, including the index returns. Firms with two or more classes of shares are classified as dual class. Firms with pre-IPO convertible preferred that converted into common at the time of the IPO are classified based on the *pro forma* (post-conversion) share structure. Laura Field and Michelle Lowry supplied classifications for many of the years.

**Panel A: IPOs from 1980-2024 categorized by dual class status**

| Dual class or not | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|-------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                   |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| Dual class        | 924            | 19.7%                    | 29.5%                              | -6.7%           | -1.9%          |
| Single class      | 8,329          | 18.8%                    | 18.0%                              | -22.0%          | -9.7%          |
| 1980-2024         | 9,253          | 18.9%                    | 19.1%                              | -20.5%          | -8.9%          |

**Panel B: IPOs from 1980-2024 categorized by dual class and tech status**

| Buyout-backed or not   | Number of IPOs | Average First-day Return | Average 3-year Buy-and-hold Return |                 |                |
|------------------------|----------------|--------------------------|------------------------------------|-----------------|----------------|
|                        |                |                          | IPOs                               | Market-adjusted | Style-adjusted |
| <b>Tech stocks</b>     |                |                          |                                    |                 |                |
| Dual class             | 309            | 33.1%                    | 42.7%                              | 13.8%           | 18.6%          |
| Single class           | 3,025          | 31.0%                    | 19.7%                              | -15.4%          | -2.4%          |
| All tech stocks        | 3,334          | 31.2%                    | 21.8%                              | -12.7%          | -0.4%          |
| <b>Non-tech stocks</b> |                |                          |                                    |                 |                |
| Dual class             | 615            | 12.9%                    | 22.9%                              | -17.1%          | -12.1%         |
| Single class           | 5,304          | 11.9%                    | 17.0%                              | -25.8%          | -13.8%         |
| All non-tech stocks    | 5,919          | 12.0%                    | 17.6%                              | -24.9%          | -13.7%         |